TENTATIVE RULINGS

DEPT. CX103
(657-622-5303)

Judge David A. Hoffer
August 31, 2026

These are the Court's tentative rulings. They may become orders if the parties do not appear at the hearing. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

If a party intends to submit on the Court's tentative ruling, please call the Court Clerk to inform the court. If both parties submit, the tentative ruling will then become the order of the Court.

APPEARANCES: Department CX103 conducts non-evidentiary proceedings, such as law and motion, remotely by Zoom videoconference. All counsel and self-represented parties appearing for such hearings should check-in online through the Court's civil video appearance website at https://www.occourts.org/media-relations/civil.html prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and an instructional video are available on the court's website. All remote video participants shall comply with the Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also posted online at https://www.occourts.org/media-relations/aci.html. A party choosing to appear in person can do so by appearing in the courtroom on the date/time of the hearing.

Court Reporters: Parties must provide their own remote court reporters (unless they have a fee waiver). Parties must comply with the Court's policy on the use of privately retained court reporters which can be found at:

- Civil Court Reporter Pooling; and
- Court Reporter Interpreter Services

THE PARTIES ARE PROHIBITED BY RULE OF COURT AND LOCAL RULE FROM PHOTOGRAPHING, FILMING, RECORDING, OR BROADCASTING THIS COURT SESSION.

#	Case Name	
1	30-2021-01185742 Martinez vs. West Coast Prime Meats, LLC	The settlement administrator has confirmed that the distribution of the settlement funds has been made in accordance with the settlement terms that were approved by the court and that the amount of the uncashed checks from the settlement has been transmitted to the State Controller's Office's Unclaimed Property Fund. As Plaintiff has shown that the Administrator's work is complete, the court's file may now be closed.

		Plaintiffs are ordered to give notice of this ruling to Defendant.
2	30-2021-01210888 Sanchez vs. DTB Investments, Inc.	The tentative ruling is to continue the Final Report Hearing to December 21, 2026 at 1:30 p.m. to confirm that the amount of the uncashed checks after the check-cashing deadline has been delivered to the State Controller's Office Unclaimed Property Fund in the names of the applicable payees, that the Administrator's work is complete, and that the court's file thus may be closed. All supporting papers must be filed at least 16 days before the Final Report Hearing date. The court also issues an Order to Show Cause why the court should not impose monetary sanctions against plaintiff's counsel for failing to comply with the court's order of September 8, 2025 to file all supporting papers for the Final Report Hearing at least 16 days before the Final Report Hearing date. The hearing is set for December 21, 2026 at 1:30 p.m. Any response to the OSC must be filed at least a week before the hearing. The clerk will give notice of this ruling.
3	30-2023-01313532 Giahi vs. Xpress Med Pharmacy, Inc.	The tentative ruling is to continue the hearing on Plaintiff Omid Giahi's ("Plaintiff") Motion for Final Approval of Class Action and PAGA Settlement to November 23, 2026 at 1:30 p.m. Counsel must file supplemental papers addressing the court's concerns (not fully revised papers that would have to be re-read) at least 16 days before the next hearing date. In Plaintiff's April 13, 2026 supplemental brief, Plaintiff stated that a supplemental declaration would be provided by Plaintiff's counsel Jonathan LaCour, and a supplemental declaration by the settlement administrator's representative, Chantal Soto-Najera. However, neither declaration was filed with the court. Accordingly: • There is still no documentation of the litigation costs to support the $5,684.17 costs request. • There is also no evidence of the high, low and average payments to be paid to aggrieved employees. • There is also no evidence of the names of the two putative class members who opted out and thus will not be bound by the judgment.

		The court also issues an Order to Show Cause why the court should not impose monetary sanctions against plaintiff's counsel for failing to comply with the court's order of April 27, 2026 to file supplemental papers addressing the court's concerns at least 16 days before the August 31, 2026 hearing. The hearing is set for November 23, 2026 at 1:30 p.m. Any response to the OSC must be filed at least a week before the hearing. Plaintiff is ordered to give notice of the ruling to the LWDA and Defendants.
4	30-2023-01351412 Salas vs. All American Racers, Inc.	The court has reviewed and considered the papers filed in support of plaintiff's motion for final approval of the $1,650,000.00 class action and PAGA settlement. The motion is **GRANTED IN PART** as follows: $6,500.00 enhancement award to plaintiff Steve Salas; $495,000.00 for attorneys' fees; $17,875.95 for litigation costs; $7,650.00 for settlement administration costs; and $165,000.00 total PAGA penalties ($123,750.00 to the LWDA). The final accounting hearing is scheduled July 13, 2027 at 1:30 p.m. in Department CX103. Plaintiff shall submit a final accounting report at least 16 calendar days before the final accounting hearing regarding the status of the settlement administration. The final report must include all information necessary for the court to determine the total amount actually paid to class members and aggrieved employees and any amounts tendered to the State Controller's Office under the unclaimed property law. If all funds are not fully and finally disbursed prior to the filing deadline, including to the State Controller, plaintiff must request a continuance. Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.

5	30-2023-01354850 Butler vs. American Vision Windows, Inc.	Plaintiffs Adolfo Rojas Sr. and Jesse Bryan Butler's (collectively, "Plaintiffs") Motion for Final Approval of Class Action and PAGA Settlement is **GRANTED IN PART**. Enhancement awards of $7,500.00 to Plaintiff Adolfo Rojas Sr. and $5,000 to Plaintiff Jesse Bryan Butler are sufficient and proper for a class and settlement of this size, and based on each plaintiff's contribution to the case. The court also finds that an attorneys' fee award totaling $642,345.00 or 30% of the Gross Settlement Amount, which constitutes a 1.45 multiplier of the lodestar amount, is fair, adequate and reasonable for the class and settlement of this size, contingent nature of representation and the results achieved. The court concludes that the $2,141,150.00 class action and PAGA settlement is fair, adequate and reasonable, and approves the following specific awards: • $642,345.00 to plaintiffs' counsel (50% to Bibiyan Law Group, P.C. and 50% to D. Law, Inc.) for plaintiffs' attorneys' fees, reduced from the $713,716.67 requested; • $29,218.50 to plaintiffs' counsel ($10,648.58 for Bibiyan Law Group, P.C. and $18,569.92 for D. Law, Inc.) for plaintiffs' litigation costs, as requested; • $12,500.00 to Plaintiffs ($7,500.00 to Plaintiff Rojas and $5,000.00 to Plaintiff Butler) as enhancement awards, reduced from the $25,000.00 requested; • $12,556.00 to Rust Consulting, Inc., the settlement administrator, as requested; and • $37,500.00 to the LWDA for its share of PAGA penalties, as requested. The total amount that will be payable to all class members and aggrieved employees, if they are paid the amount to which they are entitled pursuant to the judgment, is $1,407,030.50. The Final Accounting hearing is set for June 14, 2027 at 1:30 p.m. in Department CX103. At least sixteen (16) calendar days before the hearing, Class Counsel and the Settlement Administrator shall submit a summary accounting of the distribution of the settlement funds to Class Members and Aggrieved Employees, identifying the distributions made pursuant to this Order and Judgment, and identifying the number

		and value of any uncashed checks, and the status of any unresolved issues. Within five (5) days of this ruling, Plaintiffs shall provide the court with a revised Proposed Final Order and Judgment reflecting this ruling. Plaintiffs are ordered to give notice of this ruling to the LWDA and Defendant.
6	30-2024-01426932 Petty vs. Renewal By Andersen LLC	The tentative ruling is to continue the hearing on Plaintiff Chandon Petty's ("Plaintiff") Motion for Approval of Settlement Under Private Attorneys General Act ("PAGA") to December 21, 2026 at 1:30 p.m. Counsel must file supplemental papers addressing the court's concerns (not fully revised papers that would have to be reread) no later than two weeks before the next hearing date. Counsel must submit an amendment to the settlement agreement rather than any amended settlement agreement. Counsel also must provide a red-lined version of any revised papers. Counsel also should provide the court with an explanation of how the pending issues were resolved, with references to any corrections to the settlement agreement, rather than with a supplemental declaration or brief that simply asserts the issues have been resolved. There is an escalator clause in the settlement agreement, but this is a motion to have the settlement fully approved and thus a specific gross settlement amount must be approved on the granting of this motion. At this point in time the parties should know or be able to determine the number of aggrieved employees and qualifying pay periods based on the PAGA Period the parties are using. The following phrases must be removed from the release described in the settlement agreement: • "that accrue through the date the Court enters its order approving this Settlement" (Settlement § A(23) [the release period should match the PAGA Period that ends on August 29, 2025.) • "and (D) all claims that Plaintiff and/or the PAGA Members may have against the Released Parties relating to the payment, taxation, and allocation of attorneys' fees and costs to Plaintiffs Counsel pursuant to this Settlement

		Agreement." (Settlement § A(23) [the court will not approve this type of release].) • "PAGA Members may discover facts in addition to those they now know or believe to be true with respect to the subject matter of the Released Claims, but upon the Effective Date, PAGA Members shall be deemed to have, and by operation of the Settlement Approval shall have, fully, finally, and forever settled and released any and all of the Released Claims during the PAGA Period, without regard to the subsequent discovery or existence of such different or additional facts. PAGA Members agree not to sue or otherwise make a claim against any of the Released Parties that seeks recovery for any of the Released Claims during the PAGA Period." (Settlement § B(3) [the court will not approve this language, especially injunctive language against the aggrieved employees].) The parties must provide the court with a copy of the cover letter to be sent to the aggrieved employees explaining the claims in this action, the release of claims, and an explanation of the payment provided. The letter also must explain that no claims for unpaid or underpaid wages have settled, and that this settlement is without prejudice to the pursuit of any such claims. Counsel should propose a realistic Final Report Hearing date and include it in the [Proposed] Order and Judgment, taking into account the time deadlines associated with funding the settlement, mailing distributions, allowing the check-cashing deadline to pass, and depositing uncashed check funds pursuant to the terms of the settlement agreement. The court usually sets these hearings nine months after settlement approval if the check cashing deadline is 180 days. The parties must report to the court the total amount that was actually paid to the aggrieved employees. All supporting papers must be filed at least 16 days before the Final Report Hearing date. Plaintiff is ordered to give notice of this ruling to the LWDA and Defendant.
7	30-2024-01428283 Winer vs. Phase II Systems	Plaintiff Christopher Winer's ("Plaintiff") Motion for Preliminary Approval of Class Action Settlement is **GRANTED**. However, Plaintiff must provide the court with a new [Proposed] Order that identifies the correct judge, and all future filings should identify Hon. David A. Hoffer as the judge for this action.

		A Final Approval Hearing is set for February 1, 2027 at 1:30 p.m. All papers in support of the Final Approval Hearing, including detailed hourly breakdowns of plaintiff's attorneys to support a lodestar cross-check, detailed plaintiff attorney cost breakdowns, an Administrator declaration and invoice, and plaintiffs' declarations to support the enhancement request, must be filed at least 16 calendar days before the Final Approval Hearing date to provide enough time for court review, and must be served in compliance with CCP notice of motion requirements. Plaintiff is ordered to give notice of this ruling to Defendant.
8	30-2024-01390734 Welton vs. Cerna Healthcare, LLC	Plaintiffs Juliet Welton, Brandi Gregg, and Cindy Estrada Rosas' (collectively, "Plaintiffs") Motion for Preliminary Approval of Class Action and PAGA Settlement is GRANTED. A Final Approval Hearing is set for February 1, 2027 at 1:30 p.m. All papers in support of the Final Approval Hearing, including detailed hourly breakdowns of plaintiffs' attorneys to support a lodestar cross-check, detailed plaintiff attorney cost breakdowns, an Administrator declaration and invoice, and plaintiffs' declarations to support the enhancement request, must be filed at least 16 calendar days before the Final Approval Hearing date to provide enough time for court review, and must be served in compliance with CCP notice of motion requirements. Plaintiffs are ordered to give notice of this ruling to the LWDA and Defendant.
9	30-2024-01439280 Espina vs. J & E Hospitality Group Inc.	Counsel Jorge Ledezma of Ledezma Law, APLC's ("Counsel") Motion to Be Relieved as Counsel for Defendant Edgar Estrada Galindo ("Galindo") is **GRANTED**. (CCP § 284(2).) Counsel has complied with the requirements of CRC Rule 3.1362. IT IS ORDERED THAT within five (5) days of this ruling, Counsel shall provide the court with a new [Proposed] Order that states that the next scheduled hearing is on October 20, 2026 at 9:00 A.M. for an Order to Show Cause why Defendants J&E, Taste, Sol Agave, and Prime's Answer should not be stricken due to the fact that these defendants are corporations but do not have an attorney of record. IT IS FURTHER ORDERED THAT Notice of Entry of Order and Proof of Service must be filed by Counsel. Counsel remains counsel for Galindo until Proof of Service upon Galindo is filed.

		Counsel is ordered to give notice of the ruling.
10	30-2025-01522081 Shumard vs. Boot Barn Holdings, Inc.	Defendant Boot Barn Inc.'s ("Defendant") Demurrer to Plaintiff Mike Shumard's ("Plaintiff") First Amended Class Action Complaint ("FAC") is **OVERRULED**. IT IS ORDERED THAT Defendant file an answer to Plaintiff's FAC within fourteen (14) days of this ruling. In this action, Plaintiff alleges a single class action claim against Defendant for violation of Cal. Pen. Code § 632.7, which makes it unlawful to "intercept[] or receive[] and intentionally record[] . . . a communication transmitted between two cellular radio telephones, a cellular radio telephone and a landline telephone, two cordless telephones, a cordless telephone and a landline telephone, or a cordless telephone and a cellular radio telephone [without the consent of all of the parties to a communication][.]" Cal. Pen. Code § 637.2(a) states: "Any person who has been injured by a violation of this chapter may bring an action against the person who committed the violation for the greater of the following amounts: (1) Five thousand dollars ($5,000) per violation[;] [or] (2) Three times the amount of actual damages, if any, sustained by the plaintiff." Further, "[a]ny person may . . . bring an action to enjoin and restrain any violation of this chapter, and may in the same action seek damages[.]" (Cal. Pen. Code § 637.2(b).) "It is not a necessary prerequisite to an action pursuant to this section that the plaintiff has suffered, or be threatened with, actual damages." (Cal. Pen. Code § 637.2(c).) Plaintiff alleges that "[i]n or about early September or late August, 2025, Plaintiff called the Boot Barn customer service number, 888-440-2668, and spoke with a Boot Barn customer service representative." (FAC ¶ 12.) "Plaintiff's telephone call to Defendant's customer service was made while Plaintiff was in California using a cellular telephone with a California area code." (*Id.* ¶ 16.) "Plaintiff is informed and believes and thereon alleges, that the customer service representative who answered his call was also using a Telephonic Communication System Device," which is defined as one of the enumerated devices identified in Cal. Pen. Code § 632.7. (*Id.* ¶¶ 3, 16.) Plaintiff alleges that "Defendant knowingly violated Section 632.7 by intentionally recording calls with California residents using Telephonic

		Communication System Devices without obtaining consent for recordation." (*Id.* ¶ 28.) The court finds that these allegations are sufficient to state a claim. Cal. Pen. Code § 632.7 only covers communications between a "cellular radio telephone," "cordless telephone," or "landline telephone," and Defendant claims that it uses an internet-based system that is not covered by the statute. However, this argument is based on a fact outside of the scope of the pleadings, and thus is not a proper basis for attacking the pleadings. "As a general rule in testing a pleading against a demurrer the facts alleged in the pleading are deemed to be true, however improbable they may be," unless the "complaint contains allegations of fact inconsistent with attached documents, or allegations contrary to facts which are judicially noticed." (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters." (*SKF Farms v. Superior Ct.* (1984) 153 Cal. App. 3d 902, 905.) "[A] court cannot consider . . . the substance of declarations, matter not subject to judicial notice, or documents judicially noticed but not accepted for the truth of their contents." (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal. App. 4th 968, 994.) Further, while Defendant argues that its purported internet-based call system is not covered by the statute, Defendant cites to non-binding federal cases that involve chat features on websites, which is very different than using voice-over-internet protocol ("VOIP") technology to handle phone calls from customers. (*Byars v. Sterling Jewelers, Inc.*(C.D. Cal. Apr. 5, 2023) No. 5:22-CV-01456-SB-SP, 2023 WL 2996686, at *1 [sales chat feature on website]; *Byars v. Hot Topic, Inc.* (C.D. Cal. 2023) 656 F. Supp. 3d 1051, 1057 [chat feature on website]; *Martin v. Sephora USA, Inc.* (E.D. Cal. Mar. 30, 2023) No. 1:22-CV-01355-JLT-SAB, 2023 WL 2717636, at *1 [website chat feature]; *Jones v. Tonal Sys., Inc.* (S.D. Cal. 2024) 751 F. Supp. 3d 1025, 1029 [customer support chat feature on website]; *Esparza v. Ecco USA Inc*. (Cal.Super. July 06, 2023) No. 37202300009235CUCRCT, 2023 WL 4490541, at *2 [website chat feature]; *Heiting v. Harpercollins Publishers LLC* (Cal.Super. July 29, 2024) No. 23STCV10382 23STCV09965, 2024 WL 7006705, at *1 [online chatbox].)

		The only relevant California case stated that "several federal courts have refused to dismiss or summarily adjudicate a Penal Code section 632.7 claim based merely on the fact that the defendant used VoIP technology," and denied summary adjudication on that ground. (*Gruber v. Yelp Inc.* (2020) 55 Cal. App. 5th 591, 612 [rejecting summary adjudication of Cal. Pen. Code § 632.7 claim based on the argument that the subject communication involved VOIP technology].) Defendant cites only a single, non-binding federal case that granted summary judgment on the grounds that the VOIP phone system at issue was not covered by Cal. Pen. Code § 632.7. (*Jackson v. Papa John's Int'l Inc.* (N.D. Cal. June 23, 2026) No. 23-CV-01933-LB, 2026 WL 1805155, at *6.) The court declines to reach the factual issue of whether Defendant's specific system is covered by Cal. Pen. Code § 632.7 at the pleading stage. Defendant also complains that the FAC does not specify exactly what telephonic device Defendant used when Plaintiff called Defendant, but cites to no binding case law requiring such specificity. In the FAC, Plaintiff alleges that "the customer service representative who answered his call was [] using a Telephonic Communication System Device," which Plaintiff defines as the telephonic communication devices enumerated in California Penal Code § 632.7 (i.e. two cellular radio telephones, a cellular radio telephone and a landline telephone, two cordless telephones, a cordless telephone and a landline telephone, or a cordless telephone and a cellular radio telephone). (FAC ¶¶ 3, 16.) As Plaintiff points out, the precise make, model, and configuration of the equipment sitting on the other end of Defendant's customer service line is a matter peculiarly and exclusively within Defendant's knowledge. "[T]he particularity of pleading required depends upon the extent to which the defendant in fairness needs detailed information that can be conveniently provided by the plaintiff, and that less particularity is required where the defendant may be assumed to possess knowledge of the facts as least equal, if not superior, to that possessed by the plaintiff." (*Burks v. Poppy Const. Co.* (1962) 57 Cal. 2d 463, 474.) "[L]ess specificity is required in pleading matters of which the defendant has superior knowledge." (*Thomas v. Regents of Univ. of California* (2023) 97 Cal. App. 5th 587, 611.) "A plaintiff 'need not particularize matters 'presumptively within the knowledge of the demurring' defendant.'" (*Id.*) "[P]leading ultimate facts is sufficient since the particularized knowledge lies with the defendant and the defendant does not need more information for evaluation of the

		action brought against it." (*Doe v. City of Los Angeles* (2007) 42 Cal. 4th 531, 550.) Defendant is sufficiently on notice as to the claim against it, and to the extent it disputes Plaintiff's factual allegations, that dispute is not an issue that can be resolved at the pleading stage. Defendant also argues that the only communication systems Plaintiff specifically identifies in the FAC are outside the scope of Cal. Pen. Code § 632.7. Plaintiff alleges that Defendant "intentionally utilized certain computer hardware and/or software technology and/or other equipment ("Call Recording Technology") to execute a company-wide policy and practice of recording inbound and outbound telephone communications with callers[.]" (FAC ¶ 13.) However, this allegation does not preclude the possibility that Defendant uses one of the enumerated telephonic communication devices identified in Cal. Pen. Code § 632.7 alongside this technology for recording purposes. Defendant also objects to Plaintiff's allegations being based on information and belief, but "Plaintiff may allege on information and belief any matters that are not within his personal knowledge, if he has information leading him to believe that the allegations are true." (*Pridonoff v. Balokovich* (1951) 36 Cal. 2d 788, 792.) Here, Plaintiff dialed a telephone number and spoke to a Boot Barn customer service representative. (FAC ¶ 12.) Those facts are sufficient to state on information and belief that "the customer service representative who answered his call was also using a Telephonic Communication System Device." (*Id*. ¶ 16.) Based on the foregoing, the court overrules Defendant's demurrer as the FAC adequately states a claim against Defendant for violation of Cal. Pen. Code § 632.7. Defendant is ordered to give notice of this ruling to Plaintiff.
11	30-2026-01566203 Figueiredo vs. Urth Caffe Corporation	Defendants Urth Caffe Corporation, Urth Payroll Services, Inc., Urth Caffe Associates VIII, LLC, Urth Old Towne Development, LLC, Urth Caffe Associates VII, LLC, Urth Caffe Associates IX, LLC, Urth Caffe Associates X, LLC, Urth Expansion Holdings, LLC, and Alfredo Garcia's motion to compel arbitration is **GRANTED**. Plaintiff Anabelle Figueiredo is ordered to arbitrate her individual claims. The class claims are dismissed without prejudice. This case is otherwise **STAYED** pending completion of arbitration.

An ADR Review Hearing is scheduled for April 13, 2027 at 9:00 a.m. The parties must file a Joint Status Report at least 7 court days before the hearing and may request a continuance if arbitration is not yet complete.

Code of Civil Procedure § 1290.6

Defendants have styled the motion as a “Verified Petition to Compel Arbitration” pursuant to Code of Civil Procedure Section 1290.6. ROA 26, 37. The parties dispute whether this changes otherwise applicable motion deadlines. It does not. Section 1290.6 appears in portions of the Code of Civil Procedure pertaining to a “proceeding” to compel arbitration, which is “commenced by filing a petition” to compel arbitration. C.C.P. § 1290; *accord Mercury Insurance Group v. Superior Court* (1998) 19 Cal.4th 332, 349. The instant motion was not filed to commence a proceeding to compel arbitration, but in an action that was already pending. Accordingly, Section 1290.6 is inapplicable. Furthermore, even if Section 1290.6 applied, the court is within its discretion to (and here would) consider any “untimely” opposition. *See, e.g.*, *Correia v. NB Baker Electric, Inc.* (2019) 32 Cal.App.5th 602.

Existence of Arbitration Agreement

The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. *Little v. Pullman* (2013) 219 Cal.App.4th 558, 565. The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. *Id.*; *Perry v. Thomas* (1987) 482 U.S. 483, 492 n.9 (State law applicable to contracts generally governs whether a valid arbitration agreement exists.)

While the burden of persuasion is always on the moving party, the burden of production may shift in a three-step process. First, the moving party must present “prima facie evidence of a written agreement to arbitrate the controversy”, which is satisfied by attaching a copy of the arbitration agreement purporting to bear the opposing party's signature. *Gamboa v. Ne. Cmty. Clinic* (2021) 72 Cal.App.5th 158, 164–67. At this step, a movant need not follow the normal procedures of document authentication. *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218-219.

		If the moving party meets its initial burden, and the opposing party disputes the agreement, then the burden shifts to the opposing party to challenge the authenticity of the agreement. Finally, if plaintiff presents evidence that no agreement exists, the burden shifts back to the moving party to present admissible evidence of a valid arbitration agreement between the parties by a preponderance of the evidence. *Gamboa, supra*, 72 Cal.App.5th at 164–67. Here, the “Mutual Agreement to Arbitrate Claims and Disputes” (the “Agreement”) is presented as Exhibit 1 to the declaration of Gabii Vera, Vice President of Operations and Compliance for defendant Urth Payroll Services, Inc. dba Urth Caffe. ROA 38 Ex. 1. Plaintiff electronically signed the Agreement on 06-06-2024. *Id.* Vera and Robert Dubrey, IT Director for defendant Urth Payroll Services, Inc. dba Urth Caffe, both explain the process by which plaintiff’s electronic signature came to be attached to the Agreement. ROA 38. This is sufficient to meet defendants’ initial burden that an agreement to arbitrate exists. Plaintiff admits she signed the Agreement. ROA 42. However, plaintiff argues that no agreement to arbitrate was formed between plaintiff and defendants Urth Caffe Corporation, Urth Caffe Associates VIII, LLC, Urth Old Towne Development, LLC, Urth Caffe Associates VII, LLC, Urth Caffe Associates IX, LLC, Urth Caffe Associates X, LLC, Urth Expansion Holdings, LLC, and Alfredo Garcia because the Agreement is between plaintiff and defendant Urth Payroll Services, Inc. only. In other words, plaintiff argues no other defendant may enforce the Agreement. For the reasons explained below, this argument lacks merit. “Generally speaking, one must be a party to an arbitration agreement to be bound by it or invoke it.” *Molecular Analytical Systems v. Ciphergen Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 706. However, there are exceptions to this general rule, which include: “(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary.” *Cohen v. TNP 2008 Participating Notes Program, LLC* (2019) 31 Cal.App.5th 840, 859. As an initial matter, plaintiff’s interpretation ignores the express language of the preamble of the Agreement, which is between the “Employee” and “Urth Payroll Services, Inc. and all related entities (‘Employer’).” ROA 38 Ex. 1 at 1. Additionally, the

		interpretation ignores the third paragraph of the Agreement, which states it applies to all employment-related disputes between the employee and "Employer, including the Employer's parent, subsidiary or related companies, and their past, present, and future owners, officers, directors, agents, employees, partners, clients, customers, pension or benefit plans, administrators, advisors, (including any financial advisors, attorneys, and accountants), insurers, and indemnitees parent(s), subsidiaries, affiliates, and successors (collectively, 'Employer')." *Id.* Accordingly, pursuant to the express terms of the Agreement, it may be enforced against plaintiff, who has alleged violations suffered during her employment, by entities and individuals related to Urth Payroll Services, Inc., including defendants Urth Caffe Corporation, Urth Caffe Associates VIII, LLC, Urth Old Towne Development, LLC, Urth Caffe Associates VII, LLC, Urth Caffe Associates IX, LLC, Urth Caffe Associates X, LLC, Urth Expansion Holdings, LLC, and Alfredo Garcia. Contrary to plaintiff's arguments, there is nothing inconsistent, ambiguous, or "illusory" about the Agreement's definition of "Employer" and no authority suggests otherwise. Finding the Agreement's express terms permit enforcement by non-signatory defendants, the court need not address defendants' other theories of enforcement. However, even if the terms of the Agreement did not expressly include related entities and individuals, because plaintiff alleges defendants were joint employers (ROA 2 ¶¶ 25, 28-34), does not differentiate among defendants, and alleges joint liability against all defendants, equitable estoppel permits enforcement by non-signatory defendants. *See, e.g., Garcia v. Pexco, LLC* (2017) 11 Cal. App. 5th 782, 786 (doctrine applies where the claims are "based on the same facts and are inherently inseparable"). The *Garcia* court noted that, as here, Garcia's complaint alleged violations against the defendants as joint employers, referred to employers collectively as "defendants" without distinction, and alleged identical claims and conduct regarding unlawful and improper acts. *Id.* at 788. As the court in *Gonzalez v. Nowhere Beverly Hills LLC* (2024) 107 Cal.App.5th 111 held in a similar situation wherein plaintiff sued several related entities though employed by only one, "it would be unfair for [plaintiff] to group the…entities…for purposes of wage and hour liability as joint employers while at the same time denying the joint relationship in order to avoid arbitration." *Id.* at 124. Accordingly, the court finds the parties formed an agreement to arbitrate.

Applicability of the Federal Arbitration Act

The Agreement expressly provides it is "governed by and enforceable under the Federal Arbitration Act ('FAA')." ROA 38 Ex. 1 at 4. Additionally, defendants provide evidence they are engaged in interstate commerce through their suppliers. Vera Decl. ¶ 3. This is more than sufficient to find the FAA applies and plaintiff does not dispute the application of the FAA.

Accordingly, the court finds the FAA applies.

Whether the Agreement Covers the Dispute

The Agreement broadly applies to "all disputes that may arise out of the employment context." ROA 38 Ex. 1 at 1. The Agreement contains a "Waiver of Class Claims," wherein the "Parties agree to bring any claim in arbitration on an individual basis only. The Parties further agree to waive the right to bring, maintain, or participate in any class, representative or collective proceeding, as allowed by law, whether in arbitration or otherwise." *Id.* at 2. The Agreement also contains a severability provision providing for enforcement of all other provisions in the event any are deemed unenforceable. *Id.* at 4.

There is no dispute the Agreement applies to the claims alleged by plaintiff.

Unconscionability

In *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, the California Supreme Court recognized that notwithstanding the strong public policy favoring arbitration, "'generally applicable contract defenses, such as . . . unconscionability, may be applied to invalidate arbitration agreements without contravening" the FAA' or California law." *Id.* at 125; *accord AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.

"Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion. [Citation.] 'The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.' [Citation.] If the contract is adhesive, the court must then determine whether 'other factors are present which, under established legal rules—legislative or judicial—

		operate to render it [unenforceable].'" *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113. 113. To declare an agreement unenforceable, a court must find both procedural and substantive unconscionability. Procedural unconscionability focuses on oppression or surprise due to unequal bargaining power; substantive unconscionability looks at overly harsh or one-sided results. *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1243; *see also OTO, L.L.C., supra*, 8 Cal.5th at 129-30. "[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." *Armendariz, supra*, 24 Cal.4th at 114. Plaintiff bears the burden to demonstrate that the arbitration agreement is procedurally and substantively unconscionable. *Sanchez v. Carmax Auto Superstores California, LLC* (2014) 224 Cal.App.4th 398, 402. <u>Procedural Unconscionability</u> Defendants concede the Agreement is a contract of adhesion. However, while it is true virtually all "take it or leave it" contracts carry some degree of procedural unconscionability, that degree is presumptively low absent evidence the defendant actively interfered with plaintiff's ability to review and understand the arbitration clause. *See Samaniego v. Empire Today, LLC* (2012) 205 Cal.App.4th 1138, 1145 (procedural unconscionability presumptively low absent evidence the defendant actively interfered with plaintiff's ability to review and understand the arbitration clause). Accordingly, the evidence, at most, demonstrates a low amount of procedural unconscionability based on the adhesive nature of the Agreement. <u>Substantive Unconscionability</u> Substantive unconscionability examines the fairness of a contract's terms to ensure that a contract of adhesion does not impose terms that are overly harsh, unduly oppressive, or unfairly one-sided. *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 129-30. The court focuses on terms that unreasonably favor the more powerful party, impair the integrity of the bargaining process, contravene public interest or policy, or attempt to impermissibly alter fundamental legal duties. This includes unreasonable or harsh

		terms or ones that undermine the non-drafting party's reasonable expectations. *Id.* at 130. First, plaintiff argues the Agreement is substantively unconscionable based on a lack of adequate discovery, specifically, the limitation of one individual deposition per side. ROA 38 Ex. 1 at 3 ("Each party shall have the right to take the deposition of one individual and any expert witness designated by another party without the Arbitrator's prior approval."). However, the Agreement also provides that "[r]equests for additional depositions or discovery may be made to the arbitrator selected pursuant to this Agreement. The arbitrator shall grant additional depositions or discovery if the arbitrator finds the party has demonstrated it needs that deposition/discovery to adequately arbitrate the claim, considering the parties' mutual desire to have a speedy, less-formal, cost-effective dispute-resolution mechanism." *Id.* Plaintiff provides no authority the Agreement's discovery provision fails to meet minimum standards under *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83. Moreover, an arbitrator's discretion as to the scope of discovery is not unconscionable. The JAMS Employment Arbitration Rules & Procedures that expressly apply to the Agreement, Rule 17(b), provides for the arbitrator's discretion to determine whether additional discovery is reasonably necessary. The California Supreme Court has found a similar provision giving ultimate deference to the arbitrator to order additional discovery as needed renders the discovery limitation valid and "eliminates any unconscionability." *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal. 5th 478, 507. Plaintiff's reliance on *Fitz v. NCR Corp.* (2004) 118 Cal. App. 4th 702 is misplaced. In that case, additional discovery was only available upon, unlike here, a showing of "compelling need," which required a showing that fair resolution of the dispute would be "impossible" without the additional discovery. *Id.* at 709. Significantly, adequate discovery in arbitration does not equal unfettered discovery, and parties may agree to something less than what is available under the Code of Civil Procedure. *Sanchez v. Carmax Auto Superstores Cal, LLC* (2014) 224 Cal.App.4th 398, 404 (*citing Armendariz v. Foundation Health Psycare Servs., Inc.* (2000) 24 Cal.4th 83, 105-060). "[A]rbitration is meant to be a streamlined procedure. Limitations on discovery…is one of the ways streamlining is achieved." *Dotson v. Amgen, Inc.* (2010) 181 Cal.App.4th 975, 983. "In

		striking the appropriate balance between the desired simplicity of limited discovery and an employee's statutory rights, courts assess the amount of default discovery permitted under the arbitration agreement, the standard for obtaining additional discovery, and whether the plaintiffs have demonstrated that discovery limitations will prevent them from adequately arbitrating their statutory claims." *De Leon v. Pinnacle Property Management Services, LLC* (2021) 72 Cal.App.5th 476, 487. Plaintiff has made no such demonstration here. Second, Plaintiff argues the Agreement is substantively unconscionable because it requires employees to arbitrate "harassment" claims, which includes sexual harassment claims. As an initial matter, plaintiff is correct the law does not permit forced arbitration of sexual harassment or assault disputes. The Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021 ("EFAA"), 9 U.S.C. § 402(a) provides that "at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute, or the named representative of a class or in a collective action alleging such conduct, no predispute arbitration agreement or predispute joint-action waiver shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute." However, plaintiff's argument lacks merit for two reasons. First, among the other claims covered by the Agreement, employees must arbitrate "harassment" claims. ROA 38 Ex. 1 at 1. However, the Agreement includes the limitation that the covered claims are arbitrable only "to the full extent permitted by law." *Id.* As sexual harassment claims cannot be forced into arbitration, the Agreement's language excludes such claims or such claims are arbitrable at the election of a plaintiff. Second, the EFAA expressly applies to cases "alleging conduct constituting a sexual harassment dispute or sexual assault dispute… and relates to the sexual assault dispute or the sexual harassment dispute." 9 U.S.C. § 402(a). This case neither contains nor relates to sexual harassment and the statute is thus inapplicable. Plaintiff provides no authority even suggesting otherwise. Finally, Plaintiff argues the Agreement "lacks any semblance of bilaterality" based on its class action waiver because, unlike an employee, the employer is unlikely to bring a class action. This argument lacks merit for two reasons. First, the waiver expressly

		applies with equal force to the claims of both employer and employee, so there is no lack of mutuality. ROA 38 Ex. 1 at 2. Second, it is well settled that class action waivers are enforceable, as here, in arbitration agreements governed by the FAA. *Epic Systems Corp. v. Lewis* (2018) 138 S. Ct. 1612, 1616; *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal. 4th 348, 364. Contrary to plaintiff's assertion, under the FAA, when an arbitration agreement does not authorize class arbitration of disputes, case law provides for the dismissal without prejudice of the class claims. *Epic Systems Corp. v. Lewis* (2018) 138 S.Ct. 1612; *Stolt-Nielsen S.A. v. AnimalFeeds Int'l Corp.* (2010) 559 U.S. 662, 686; *Kinecta Alternative Financial Solutions, Inc. v. Superior Court* (2012) 205 Cal.App.4th 506, 510-511. Both the FAA and California law provide for a stay of proceedings pending arbitration. 9 U.S.C. § 3; Code Civ. Proc., § 1281.4. Accordingly, because the court does not find the Agreement substantively unconscionable, the Agreement is enforceable without regard to the negligible amount of procedural unconscionability and the petition is granted. Moving party is ordered to give notice of this ruling.
12	30-2022-01298406 Clevenger vs. Welch Foods Inc	Defendant Welch Foods Inc.'s ("Defendant" or "Welch") Motion for Summary Judgment is **DENIED**. The court SUSTAINS Plaintiff's Objection No. 12 to the declaration of Matthew Aufman, Vice President, General Counsel and Secretary of Welch, with respect to his improper legal opinion that "PIM is not an agent of Welch's." (Aufman Dec. ¶ 22.) The court OVERRULES Plaintiffs' remaining objections Aufman Declaration as his statements are admissible and Plaintiffs essentially dispute the merits of his claims. **<u>Standards of Law</u>** "A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding." (CCP § 437c(a)(1).) "The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (CCP § 437c(c).) "[S]ummary judgment shall not be granted by the court based on inferences reasonably deducible from the evidence if contradicted by other

		inferences or evidence that raise a triable issue as to any material fact." (*Id.*) "[T]here is no such creature as 'partial summary judgment' in California[.]" (*Paramount Petroleum Corp. v. Superior Ct.* (2014) 227 Cal. App. 4th 226, 243.) Further, motions for summary judgment or adjudication must "completely dispose of the cause of action." (*Id*. at 242.) "If ... the plaintiff pleads several theories," the moving defendant must "affirmatively react to each theory . . . if the motion is to be successful." (*Pultz v. Holgerson* (1986) 184 Cal. App. 3d 1110, 1114.) In other words, "to obtain a summary judgment, it [is defendant's] burden to negative all of the theories of liability tendered by the complaint by a showing that, as to each theory, dispositive material facts are not in dispute." (*Id*. at 1115.) **<u>Motion for Summary Judgment</u>** "A container that does not allow the consumer to fully view its contents shall be considered to be filled as to be misleading if it contains nonfunctional slack fill." (Cal. Bus. & Prof. Code § 12606.2(a).) "Nonfunctional slack fill is the empty space in a package that is filled to substantially less than its capacity," for reasons other than the enumerated exceptions, such as to protect the contents of the package, due to product settling, or because of machinery requirements used to package the product. Other exceptions include features that make clear the actual fill level to the consumer. (*Id.*) In this action, Plaintiffs allege that Defendants have a "practice of 'slack-filling' boxes of their Welch's® Reduced Sugar Fruit Snacks, Fruit 'n Yogurt™ Snacks, and certain boxes of Welch's® Fruit Snacks." (SAC ¶ 2.) Plaintiffs contend that these products are sold in "oversized containers with substantial, nonfunctional, empty space inside them." (*Id.*) Plaintiffs allege that "Defendant Welch's is liable both as a direct (primary) participant in the violations of the UCL and under four doctrines of secondary liability: (i) ostensible agency, (ii) aiding and abetting, (iii) furnishing the means for the unlawful conduct, and (iv) conspiracy." (SAC ¶ 10.) Welch seeks summary judgment on the grounds that Plaintiffs purportedly cannot show direct or secondary liability because the subject fruit snack products are developed, manufactured, packaged, marketed, and distributed by Defendant Promotion in Motion Companies, Inc. ("PIM"), with purportedly no

		involvement by Welch. Welch claims that it is merely a trademark licensor to PIM, and that Welch played no role in selecting the box size, the number of pouches to go into the boxes, or the pouch size or ounce count per pouch. Welch claims that its review of the product packaging was limited to the artwork on the packaging. The court finds that Plaintiffs have identified evidence that raises several triable issues of fact as to Welch's claims as to lack of involvement, lack of knowledge, and lack of control over the product packaging at issue. The License Agreement between Welch and PIM granted Welch significant control over PIM's manufacture *and packaging* of the subject fruit snack products: • PIM covenants that it shall "expeditiously and economically cooperate with Welch in the furtherance of the business contemplated by this Agreement." (Def.'s Evid., Ex. A § 6.4.) • Under a section captioned "Quality Control with Respect to the Licensed Product," the License Agreement states that PIM "shall produce, **package**, handle, distribute and sell the Licensed Products **only in strict accordance with . . . the product specifications, quality specifications and samples established by or approved by Welch** from time to time." (Def.'s Evid., Ex. A § 7.1 [emphasis added].) If PIM "wishes to make any change in the Licensed Products, it may only do so after first having received the prior written approval of Welch." (*Id*.) • Further, "Welch shall have the right . . . to inspect and review the premises, facilities, quality control procedures, and inventories to be used or in use by [PIM] or its subcontractors for the storage, production, **packaging**, handling and distribution of the Licensed Products." (Def.'s Evid., Ex. A § 7.2 [emphasis added].) "Production of Licensed Products at any particular plant or facility may not be commenced unless and until Welch has approved such plant or facility in writing." (*Id*.) • PIM shall "deliver to Welch samples of finished Licensed Products from the first production run of the Licensed Products accompanied by all analytical data on such production run." (Def.'s Evid., Ex. A § 7.3.) "[PIM] shall not release the first production run of any Licensed Products for distribution or sale until approved by Welch." (*Id*.) "When Welch has approved the first production run, approval as to subsequent runs shall be

		presumed if produced in compliance with the Welch Specifications, unless and until [PIM] is notified in writing to the contrary by Welch." (*Id.*) "However, if any Licensed Product is at any time reformulated or modified, the first commercial production run in connection therewith shall be deemed also to be a first production run." (*Id.*) • "On request, [PIM] shall make reasonably prompt and specific responses to inquiries by Welch concerning its inventories of the Licensed Products and its and its subcontractors' quality assurance practices and procedures in connection with this Agreement." (Def.'s Evid., Ex. A § 7.5.) • "If Welch determines, on the basis of the analysis of samples, inspections or otherwise, that any Licensed Product is not in conformity with the Welch Specifications or any other requirements established by or pursuant to this Agreement ("Nonconforming Product") and in the opinion of Welch said Nonconforming Product is misbranded or adulterated within the meaning of the Federal Food, Drug and Cosmetic Act of June 25, 1938, as amended (the "Act") or is a threat to public health, then Promotion In Motion shall, at its expense, immediately recall such Licensed Product indicated by Welch from all channels of distribution and/or if the same cannot be determined by Welch to be recoverable, reconditionable or usable for any purpose, then [PIM], shall, at its expense, destroy such Licensed Product." (Def.'s Evid., Ex. A § 7.6.) • "If at any time Welch has reason to believe that the quality of any Licensed Product or the condition of ingredients or packaging materials to be used in connection might be other than in compliance with any applicable rule, law or regulation or there has been a failure of compliance with the quality requirements established by or under this Agreement as referenced in Section 7 .1, or if any act or failure to act by [PIM] constitutes a danger to the value and/or validity of the Trademarks, Welch may notify [PIM] in writing." (Def.'s Evid., Ex. A § 7.7.) PIM is required to then "promptly cure such noncompliance in the manner reasonably prescribed by Welch or suspend the production, distribution or sale of indicated Licensed Product as requested by Welch." (*Id.*) • PIM shall "submit to Welch, prior to use, samples of all materials, including, without limitation, all packaging,

		labeling, advertising and promotional materials that utilize or incorporate the Trademarks in any way (the "Material")." (Def.'s Evid., Ex. A § 9.1.) "The use of unapproved Material is prohibited." (*Id.*) "After samples of the Material have been approved [by Welch] . . . [PIM] shall not depart therefrom in any material respect without Welch's prior written consent." (*Id.*) • PIM "shall have the right to subcontract for the manufacture and production of the Licensed Products to a third party and at a manufacturing facility approved by Welch in advance, including pursuant to a Welch's quality audit, provided, however, that [PIM] agrees that any such subcontractor shall agree in writing before manufacturing any Licensed Product that it will . . . manufacture the Licensed Products in strict compliance with the Product Formulas and Welch Specifications . . . and (d) provide Welch access to its premises for inspection . . ." (Def.'s Evid., Ex. A § 6.3.) As part of the License Agreement, PIM warranted that: • Licensed Products shall not be adulterated or misbranded within the meaning of any local, state or Federal law, regulation, ordinance, rule or procedures and shall not be a product which may not be introduced in interstate commerce pursuant to the Act (Def.'s Evid., Ex. A § 11.3.) • Licensed Products shall be in compliance with all local, state and Federal laws, regulations, ordinances, rules and procedures (Def.'s Evid., Ex. A § 11.4.) • Licensed Products shall be in strict compliance with all Welch Specifications. (Def.'s Evid., Ex. A § 11.4 [sic] [should have been numbered § 11.5].) The License Agreement also states that Welch shall provide PIM with certain fruit juice and fruit juice concentrate ingredients. (Def.'s Evid., Ex. A § 8.1.) Welch also set forth requirements for packaging in the License Agreement with respect to the use of its trademark and the agreement permits Welch to inspect the packaging for the products. (*Id.* §§ 7.2, 7.7, 9.1, 10.5.) Outside of the License Agreement, Welch's PMK also acknowledged that "if we were aware of legal noncompliance [with respect to packaging], we would bring it to [PIM's] attention and expect them to rectify the issue," and that Welch "would have remedies under the [licensing] agreement." (Lanza Dec., Ex. 10 (Deposition of PMK Matthew Aufman) at p. 22:19-

		24:11, 47:17-19 [discussing sections 7.8, 9.2, 11.3 and 11.4 of the License Agreement].) PIM's PMK also acknowledged that PIM provided Welch with the dimensions of the packaging for the licensed products when obtaining Welch's approval for the packaging. (Lanza Dec., Ex. 11 (Deposition of PIM PMK Lisa Eustic) at p. 75:11-77:7.) Plaintiffs also identify communications showing that PIM communicated to Welch the dimensions of each box and the number of pouches inside each box. (Lanza Dec., Exs. 1, 3 and 4.) Plaintiffs also identify an e-mail between PIM and Welch regarding the use of the same-sized box despite reduction in weight of the products inside. (Lanza Dec., Ex. 5 at PIM00024841 [for example, one box was reduced from 25.5g per pouch to 22.7g per pouch].) Plaintiffs also point out that PIM's welchsfruitsnacks.com website states that "Welch's® offers four distinct and delicious varieties" of Welch's® Fruit Snacks and that they are "manufactured and distributed under the authority of Welch Foods, Inc. A Cooperative by the Promotion in Motion Companies." (Lanza Dec., Ex. 6.) Here, there is substantial evidence that the License Agreement afforded Welch far more control over the manufacture, advertising and packaging of the subject fruit snack products well beyond simply protecting Welch's trademark. Thus, Plaintiffs have demonstrated triable issues of fact as to the level of control Welch had over the product packaging for the subject fruit snack products, actual involvement in the packaging approval for the products, and knowledge as to the size of the packaging and the weight of the products contained therein. There are also triable issues of fact as Welch's general control over PIM's manufacturing, packaging and subcontracting with relation to the subject fruit snack products. There are also triable issues of fact as to the public's perception of who manufactures and packages the subject fruit snack products. To refute direct liability, Welch relies on one case that held that "[t]he concept of vicarious liability has no application to actions brought under the unfair business practices act." (*Emery v. Visa Internat. Serv. Ass'n* (2002) 95 Cal. App. 4th 952, 960.) That case stated that "[a] defendant's liability must be based on his personal 'participation in the unlawful practices' and 'unbridled control' over the practices that are found to violate section 17200 or 17500." (*Id.*) "A trademark owner's grant of permission to another to use the owner's mark, combined with efforts to 'police' such use, do not make the user the agent or intermediary of the

		owner." (*Id*. at 961.) "The owner may retain sufficient control to protect and maintain its interest in the mark without establishing an agency relationship." (*Id*.) "The mere display of the [defendant's] logo, trade name, or trademark is simply not enough to establish an agency by ratification." (*Id*. at 961-962.) However, the *Emery* case has since been limited to its facts as courts have noted that the case should be interpreted only to mean that a defendant cannot be "held liable for the acts of merchants with which it had no relationship and over which it had no control." (*People v. Adir Int'l, LLC* (2025) 114 Cal. App. 5th 275, 310.) Liability may still be extended to a party that has "'control over the operations of the business,' were 'informed' about the practices at issue, and permitted those practices to continue." (*Id*. at 309.) "Liability under the UCL ... must be based on the defendant's participation in *or* control over the unlawful practices[.]" (*Id*. at 310 [emphasis in original].) The cases cited by Welch are clearly distinguishable as they involve trademark licensors who only had control over trademark placement, and had no involvement with the labeling or product packaging, or any other activity involving an unfair business practice. Here, Welch's control over PIM with respect to product packaging involves several disputes of fact based on the terms of the License Agreement, the claims on PIM's website, the deposition testimony of each Defendant's PMK, and communications between Welch and PIM identified by Plaintiffs. As such, the court denies Welch's Motion for Summary Judgment as there are triable issues of fact as to Welch's direct liability for the UCL claims. As to ostensible agency, Welch contends it cannot be liable under any ostensible agency theory of liability since Plaintiffs did not have any dealings with PIM, and therefore could not have reasonably believed that PIM had authority to act on behalf of Welch. However, Plaintiffs bought products made and packaged by PIM using Welch's trademark and ingredients and thus *did* interact with PIM even if Plaintiffs may not have known that PIM was the actual entity involved with the manufacturing and packaging of the product they purchased. It was the very fact that Plaintiffs believed they were purchasing Welch's products that demonstrates, rather than negates, the agency relationship. (*Kuchta v. Allied Builders Corp.* (1971) 21 Cal. App. 3d 541, 548 [finding ostensible agency when "there was ample evidence that Allied Builders either intentionally, or by want of ordinary care, led third persons, including plaintiffs, to believe that the

		franchisee and Allied Builders were part of the same business operation."].) Welch also argues that PIM and Welch did not have an agency relationship. Welch asserts that they never agreed to have an agency relationship as stated in the License Agreement. Welch claims that PIM does not act on behalf of Welch or have the authority to assume or create obligations on behalf of Welch. Welch claims it does not have the right to control PIM's day-to-day operations and does not make the decisions necessary to run PIM's business. Welch contends that only PIM made the packaging decisions relevant to the alleged slack fill. However, as stated above, there are triable issues of fact as to Welch's control over PIM and its conduct with respect to the product packaging. Contrary to the statements in the *Emery* case, "persons *can* be found liable for misleading advertising and unfair business practices under normal agency theory." (*People v. JTH Tax, Inc.* (2013) 212 Cal. App. 4th 1219, 1242 [emphasis in original].) "[I]t is the right to control the *means and manner* in which the result is achieved that is significant in determining whether a principal-agency relationship exists." (*Id*. [emphasis in original].) "An agent is one who represents another, called the principal, in dealings with third persons." (*Michelson v. Hamada* (1994) 29 Cal. App. 4th 1566, 1579.) "Whether a person performing work for another is an agent ... depends primarily upon whether the one for whom the work is done has the legal right to control the activities of the alleged agent." (*Id*.) "Agency may be implied from the circumstances and conduct of the parties." (*Id*.) "A defendant may be held liable as a 'principal' for the acts of the defendant's ostensible agent (that is, the third party who is not actually his agent) only if (1) the plaintiff, when dealing with the agent, did so 'with [a reasonable] belief in the agent's authority,' (2) that 'belief [was] generated by some act or neglect by the principal,' and (3) the plaintiff was not negligent in relying on the agent's apparent authority." (*Hughes v. Farmers Ins. Exch.* (2024) 107 Cal. App. 5th 73, 85.) "Actual agency typically arises by express agreement." (*Secci v. United Independent Taxi Drivers, Inc.* (2017) 8 Cal. App. 5th 846, 855.) "An agency is proved by evidence that the person for whom the work was performed had the right to control the activities of the alleged agent." (*Id*.) Whether parties intend to create an agency relationship is only one factor to consider. (*Id*.)

		"[T]he primary right of control is particularly persuasive [to demonstrate an agency relationship]." (*Id.*) As stated above, there are several issues of fact with respect to the level of control Welch had over PIM regarding product packaging, and whether PIM was authorized to act on Welch's behalf, especially with respect to making and packaging the subject fruit snack products and hiring subcontractors. Welch's denial as to an agency relationship is but one factor in determining the agency relationship between Welch and PIM. Welch also contends that Plaintiffs lack standing to assert claims against Welch because Welch allegedly had nothing to do with the allegedly unlawful slack fill in the products that Plaintiffs purchased, but that is clearly a disputed issue of fact. Accordingly, the court denies Welch's Motion for Summary Judgment on the additional ground that there are triable issues of fact as to Welch's ostensible agency liability. While Welch may argue that "the mere licensing of trade names does not create agency relationships either ostensible or actual," courts have stated that such findings are "often on the grounds that in *those particular* businesses, it was 'common knowledge' that those businesses were run by independent dealers." (*Beck v. Arthur Murray, Inc.* (1966) 245 Cal. App. 2d 976, 981.) "However, just because it is 'common knowledge' that certain businesses are independently owned, this is not a matter of 'common knowledge' for all businesses." (*Id.*) "On the contrary, it is equally 'common knowledge' that certain nationwide businesses are not independently owned but are owned by a single organization which operates by chains or branches." (*Id.*) Here, there is no evidence that it is common knowledge that the subject products are produced by trademark licensees. Welch also argues that Plaintiffs did not purchase in reliance on PIM's apparent authority as Welch's agent, but fails to cite any authority requiring such reliance in order to assert a claim for UCL liability based on ostensible agency. The court declines to reach the additional alternative theories of secondary liability (aiding and abetting, conspiracy, furnishing the means) as they are not necessary to resolve this Motion for Summary Judgment. The court will discuss these theories with counsel pretrial as all appear of doubtful application. Defendant is ordered to give notice of this ruling.